

Justification for Exception to Fair Opportunity
United States Department of Agriculture
Federal Acquisition Regulation (FAR) Part 16.505
USDA Forest Service WebMethods Software Equitable Adjustment Settlement

1. Identification of the agency and the contracting activity.

The requisitioning activity for this requirement is the United States Department of Agriculture (USDA) Forest Service (FS), Chief Information Office (CIO). The contracting activity is the United States Forest Service, National Procurement Operations, Procurement and Property Services, Information Technology Contracting Branch (ITCB).

2. The nature and/or description of the action being approved.

This action is a Firm Fixed-Price (FFP) Delivery Order (DO) award for the negotiated equitable adjustment request under award number NNG15SC05B_12760420F0005 webMethods software subscriptions during previous years of performance.

New Award number: NNG15SC05B_12760425F0011

Contractor: [REDACTED].

3. A description of the supplies or services required to meet the agency's needs (including the estimated value).

New award number NNG15SC05B_12760425F0011 will settle equitable adjustment request for webMethods Adapter for JDBC subscription and webMethods Integration Platform Processors subscription under the Bill of Material listed below with the period of performance of December 14, 2023 through December 13, 2024 for the total amount of \$377,912.80 annually.

Below is the adjusted annual cost of Core Performance Class D services option years 4 table below:

LINE ITEM	DESCRIPTION	CLIN and/or Manufacturers Part Number and/or Critical Specifications	Unit of Issue	QTY	UNIT PRICE	TOTAL PRICE
WebMethods						
1	WebMethods Adapter for JDBC Subscription	WEBMETHODS: Continuation of USDA support (12/14/2023-12/13/2024)	EA	1	\$377,917.80	\$377,917.80
1.1		WebMethods Adapter for JDBC Production Quantity: 8 Cores Intel(R) Xeon(R) Gold 6240 CPU @ 2.60GHz; Operating System Red Hat Linux (x86) Core D or equivalent	EA	1		\$0.00
1.2		WebMethods Adapter for JDBC Test Quantity: 8 Cores Intel(R) Xeon(R) Gold 6240 CPU @ 2.60GHz; Operating System Red Hat Linux (x86) Core D or equivalent	EA	1		\$0.00
1.3		WebMethods Adapter for JDBC Development Quantity: 4 Cores Intel(R) Xeon(R) Gold 6240 CPU @ 2.60GHz; Operating System Red Hat Linux (x86) Core D or equivalent	EA	1		\$0.00
2.0	WebMethods Integration Platform Processors (PIDBN) Subscription	WEBMETHODS: Continuation of USDA support My WebMethods Server, Integration Server Software AG Designer - unlimited users -Broker	EA	1	\$0.00	\$0.00
2.1		Integration Platform Processors Server Production Quantity: 8 Cores Intel(R) Xeon(R) Gold 6240 CPU @ 2.60GHz; Operating System Red Hat Linux (x86) Core D or equivalent	EA	1		\$0.00
2.2		Integration Platform Processors Server Test Quantity: 8 Cores Intel(R) Xeon(R) Gold 6240 CPU @ 2.60GHz; Operating System Red Hat Linux (x86) Core D or equivalent	EA	1		\$0.00
2.3		Integration Platform Processors Server Development Quantity: 4 Cores Intel(R) Xeon(R) Gold 6240 CPU @ 2.60GHz; Operating System Red Hat Linux (x86) Core D or equivalent	EA	1		\$0.00
Period of Performance (12/14/2023-12/13/2024)					GRAND TOTAL	\$ 377,917.80

4. Identification of the exception to fair opportunity and the supporting rationale:

FAR 16.505(b)(2)(C), The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.

- Specific detailed facts of change, such as functionality change;
- Date of event with timelines;
- Identify who made contact for change, what was the requested change; who accepted deliverables;
- Include any communications, electronic reports, order processing and troubleshooting tickets, and customer support service request(s);
- Identify any specific plan of effort.
- Detailed invoice breakdown per Option Period (OP):

OP 1 (03/01/2021 – 12/13/2021)

OP 2 (12/14/2021 – 12/13/2022)

OP 3 (12/14/2022 – 12/13/2023)

OP 4 (12/14/2023 – 12/13/2024)

On December 6, 2024, CS received a response in the form of a Request for Equitable Adjustment from [REDACTED], claiming the deployment of the webMethods software subscription to Core Performance Class D processors was provided to USDA Forest Service, on March 1, 2021, with total amount due being \$1,430,891.70. The calculated adjustment during Option Year 1 considers that it was not for the entire Option year; see cost breakdown below:

Option Year	Date	Annual Contract Core A and Paid	Revised Annual Contract Core D total cost	Annual D Core Adjustment due
OY1	12/14/20 - 12/13/21	\$ 297,522.11	\$594,675.39	\$ 297,153.28
OY2	12/14/21 - 12/13/22	\$ 297,522.11	\$675,434.91	\$ 377,912.80
OY3	12/14/22 - 12/13/23	\$ 297,522.11	\$675,434.91	\$ 377,912.80
OY4	12/14/23 - 12/13/24	\$ 297,522.11	\$675,434.91	\$ 377,912.80
		\$1,190,088.44	3,296,415.03	\$1,430,891.70

On December 6, 2024, the CS sent the Request for Equitable Adjustment (REA) from [REDACTED] to the program to review and validate. Forest Service CS and program office reviewed the REA but did not have enough solid evidence, and the group had questions. The CS sent a few emails to Countertrade Products Inc. requesting the full end users licensing agreements, a question about the verbiage of licenses in REA but only received agreements between [REDACTED] or their Limited Licensing Agreement amendments. This information was sent to the program and as a group we discussed, but again felt we did not have substantial information to solidify that a change to core performance class D processors had occurred on March 1, 2021.

On December 20, 2024 the CS received an email from [REDACTED] of [REDACTED] stating [REDACTED] team, was willing to hold the discounted previously provided REA adjustment price until 12/31/2024, after that date if the matter is not fully resolved with an equitable adjustment the price will increase to the standard market price of \$4,212,656.00. Also on this date,

the [REDACTED], [REDACTED], and [REDACTED], [REDACTED] met with [REDACTED], [REDACTED], and offered a settlement amount of \$377,912.80. The settlement amount offered is based on the date of December 11, 2023, as the genuine date the government was put on notice that a change had occurred under option period four for award number NNG15SC05B_12760420F0005.

On December 27, 2024, [REDACTED] accepted FS offer of \$377,912.80 to settle their REA, if a delivery order was presented by close of business on December 31, 2024. On December 30, 2024, the CS emailed [REDACTED] requesting a time extension due to the need for an acquisition plan and higher-level funding documentation approvals; [REDACTED]. [REDACTED] granted an extension till January 9, 2025.

This document asserts the Forest Service sought a mutual agreement of equitable adjustment to [REDACTED] as the provider of webMethods software subscription products, per previous order number NNG15SC05B_12760420F0005, with a one-time payment of \$377,912.80 under new order number NNG15SC05B_12760425F0011.

5. A determination by the Contracting Officer that the anticipated cost to the Government will be fair and reasonable.

Market research found that NASA SEWP, GSA and USDA Stratus Basic Ordering Agreements are government vehicles available to procure webMethods software products in which fair and reasonable prices have already been established. Also, based on the historical cost used to develop the Independent Government Cost Estimate, and recent pricing established on a renewal contract for webMethods Adapter with JDBC subscriptions and webMethods Integration Platform Processors subscriptions under a competitive environment, the settlement price is anticipated to be fair and reasonable.

6. Any other facts supporting the use of other than full and open competition.

None.

7. Actions the agency may take to remove or overcome any barriers to increasing fair opportunity before any subsequent acquisition for the supplies or services:

The Forest Service has done its due diligence to ensure that the procurement actions are providing fair opportunity to the maximum extent possible under the Federal Acquisition Regulation. The intention of this requirement is a one-time equitable settlement for specific webMethods software subscription product that had already been provide during Option Period four and was brought to the Governments attention.

[REDACTED]

[REDACTED]
[REDACTED]

[REDACTED]
[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Forest Service

[REDACTED]

NPO, PPS

IT Contracting Branch

[REDACTED]
[REDACTED]